- Retirees are obviously still exposed to the risk of a poor sequence of returns, which brings us full circle to the next chapter about annuities.

Endnotes

The article by Bengen (2001) is worth reading because Bengen was one of the first people to conduct Monte Carlo simulations to compute retirement income sustainability. Ho, Milevsky, and Robinson (1994) likely wrote the earliest published paper to combine uncertain lifetime and longevity risk with uncertain investment returns to generate a combined probability of retirement ruin. In my opinion, the article by Markowitz (1991) is the intellectual precursor to retirement income simulations and, more recently, Taleb (2001) provides an excellent critique of the simulations and risk management methodologies, which should remind us to accept all these numbers with the proverbial grain of salt.